The California Appraisal Handbook

Everything You Need to Know About Insurance Appraisal in California

By Leland Coontz

California Licensed Public Adjuster

insuranceclaimsinfo.com

Important Disclaimer

This guide is provided for educational and informational purposes only. It is not legal advice. The information contained in this guide is based on the author's professional experience as a California Licensed Public Adjuster and may not apply to your specific situation or state.

Insurance policies, state regulations, and case law vary significantly from state to state and change over time. Always consult with a licensed public adjuster or attorney in your state before making decisions about your insurance claim.

The examples and scenarios described in this guide are drawn from real-world experience but have been generalized for educational purposes. Any resemblance to specific claims or individuals is coincidental unless otherwise noted.

CHAPTER 1

The Standard Fire Policy Appraisal Provision

Every homeowner's insurance policy in California that covers fire loss includes an appraisal provision. This is not optional — it is mandated by the California Standard Fire Policy, which is codified in California Insurance Code Section 2071. The appraisal clause gives either party — the policyholder or the insurance company — the right to demand appraisal when there is a disagreement over the amount of a loss.

The language of the standard provision reads, in essence, that if the insured and the company fail to agree on the actual cash value or the amount of loss, then either party may make a written demand for an appraisal. Each party selects a competent and impartial appraiser within 20 days after receiving the demand. The two appraisers then select an umpire. If the two appraisers cannot agree on an umpire within 15 days, either party may request a judge of a court of record in the state to select the umpire.

The appraisers then separately set the amount of loss, stating the items and amounts in writing. If the appraisers submit a written report of agreement to the company, the amount agreed upon is the amount of the loss. If they fail to agree, they submit their differences to the umpire. A written agreement signed by any two of the three — whether two appraisers or one appraiser and the umpire — determines the amount of loss.

> **Key Takeaway**
>
> The appraisal clause is a contractual right, not a privilege. If you demand appraisal and the carrier refuses or delays without valid reason, you may have grounds for a breach of contract or bad faith claim.

Understanding this provision is foundational. Appraisal is not arbitration — it is narrower in scope. Appraisal is designed only to resolve disputes over the amount of loss, not coverage disputes. If the insurance company is denying coverage entirely, appraisal is typically not the right tool. But when the dispute is over how much damage exists or what it costs to repair, appraisal is one of the most powerful tools available to policyholders.

When Appraisal Applies — And When It Does Not

Appraisal applies when both parties agree that coverage exists but disagree on the dollar amount. For example, if your carrier says the roof damage is $8,000 and your contractor says it is $35,000, that is a classic appraisal scenario. But if your carrier denies that wind caused the damage at all and says it is wear and tear, that is a coverage dispute — and appraisal typically cannot resolve it.

That said, the line between amount disputes and coverage disputes is often blurry. Carriers sometimes use low estimates as a way to effectively deny a claim without formally denying it. They pay you $3,000 on a $50,000 loss and call it resolved. In these situations, appraisal can be an extremely effective mechanism to force the real numbers onto the table.

- Appraisal is appropriate for disputes over scope, pricing, or methodology of repair
- Appraisal is NOT typically appropriate when coverage is outright denied
- Appraisal can address matching disputes (e.g., carrier wants to patch, you need full replacement)
- Appraisal can address code upgrade cost disputes
- Appraisal can resolve ACV vs. RCV holdback disputes if the dispute is over the amount

CHAPTER 2

The Arbitration Code Framework (CCP 1280-1294.2)

Here is something most policyholders — and even many attorneys — do not fully appreciate: insurance appraisal in California is governed by the California Arbitration Act, found in Code of Civil Procedure Sections 1280 through 1294.2. This matters enormously because it gives the appraisal process teeth. An appraisal award in California is not merely advisory — it is enforceable as if it were a court judgment.

CCP Section 1280 defines arbitration broadly, and California courts have consistently held that insurance appraisal falls under this statutory framework. This means the procedural protections and enforcement mechanisms of arbitration law apply to appraisal proceedings. The award can be confirmed by a court under CCP 1285, and once confirmed, it has the same force and effect as a judgment.

Important Legal Point

Under CCP 1286.2, a court can vacate an appraisal award only in very limited circumstances: corruption, fraud, prejudicial misconduct, or where the appraiser exceeded their powers. The standard for overturning an appraisal award is extremely high, which is good news for policyholders who win at appraisal.

The practical significance of this legal framework cannot be overstated. When a carrier drags its feet, you can petition the court to compel appraisal under CCP 1281.2. When the carrier refuses to participate in umpire selection, you can ask a judge to appoint one under the policy language and the arbitration code. And when the appraisal results in an award favorable to you — which it does in the overwhelming majority of cases where the policyholder is represented by a competent public adjuster — the carrier cannot simply ignore it.

Petition to Compel Appraisal

If the insurance company refuses to participate in appraisal after you have made a proper demand, your next step is to file a petition to compel appraisal in Superior Court. This is a straightforward motion. You attach the policy, your demand letter, and evidence that the carrier has failed or refused to comply. Courts routinely grant these petitions because the policy language and the Arbitration Act both support the right to appraise.

The petition should be filed in the county where the loss occurred. Filing fees are modest, and many courts will hear the petition on shortened time if you can show urgency — for example, if you are living out of your home and the carrier's refusal to appraise is delaying your recovery.

1. Send written demand for appraisal via certified mail with return receipt
2. Wait 20 days for the carrier to select an appraiser
3. If the carrier fails to respond or refuses, document the non-compliance
4. File a Petition to Compel Appraisal in Superior Court
5. Serve the petition on the carrier's registered agent for service of process
6. Attend the hearing — most petitions are granted within 30 to 60 days of filing

CHAPTER 3

Key Case Law

Sharma v. American Family Mutual Insurance (2021)

Sharma is arguably the most important California appraisal case of the last decade. In Sharma, the court addressed the question of whether an insurer waives its right to demand appraisal by engaging in conduct inconsistent with that right — such as denying the claim, litigating, or unreasonably delaying. The court held that waiver applies to insurance appraisal just as it applies to arbitration. If the carrier acts in a way that is inconsistent with its right to appraise, it can lose that right entirely.

What makes Sharma particularly useful for policyholders is its application on the flip side. When a carrier has been low-balling you, forcing you to hire a public adjuster or attorney, and then suddenly demands appraisal only after you file suit, the carrier may have waived its right to do so. The court will look at whether the carrier's delay in invoking appraisal was unreasonable and whether the policyholder was prejudiced by that delay.

Sharma v. AmFam — Rule

Sharma waiver: An insurer waives its right to appraisal by engaging in conduct inconsistent with that right, such as denying the claim, delaying unreasonably, or litigating coverage before invoking the appraisal clause. Prejudice to the policyholder must be shown.

Kacha v. Allstate Insurance Company (2006)

Kacha addressed the scope of appraisal — specifically, what issues an appraisal panel can and cannot decide. The court held that the appraisal process is limited to determining the amount of loss and cannot decide questions of coverage or liability. However, the court recognized that amount-of-loss determinations sometimes necessarily involve some coverage-adjacent questions, such as whether particular items of damage fall within the scope of the covered loss.

For policyholders, Kacha is a double-edged sword. On one hand, it confirms that carriers cannot use appraisal to smuggle in coverage defenses. On the other hand, it gives carriers a basis to argue that certain issues are outside the scope of appraisal. The key is to frame your appraisal demand and your appraiser's scope of work carefully to stay within the amount-of-loss boundary while still capturing everything you are owed.

Devonwood Condominium Owners Association v. Farmers (2008)

Devonwood is critical for understanding how courts treat the umpire's role. In this case, the court affirmed that the umpire does not need to independently inspect the property or conduct their own investigation. The umpire's role is to resolve disagreements between the two appraisers. The umpire reviews the submissions from both sides and determines where the truth lies.

This case also reinforced that appraisal awards are entitled to substantial deference from courts. A court will not second-guess the appraisal panel's factual findings unless there is evidence of fraud, corruption, or a clear excess of authority. This is why winning at appraisal is so powerful — once you have an award, the carrier has very limited ability to challenge it.

Lee v. California Capital Insurance Company (2015)

Lee addressed the intersection of appraisal and bad faith. The court held that an insurer's obligation to pay a claim fairly and promptly is not suspended merely because appraisal has been demanded or is pending. In other words, the carrier cannot use appraisal as a delay tactic. If the carrier owes money that is not in dispute — for example, the undisputed portion of the claim — it must pay that amount promptly regardless of whether appraisal is underway for the disputed portion.

Lee v. CalCap — Rule

An insurer cannot hide behind the appraisal process to delay payment of undisputed amounts. The duty of good faith and fair dealing continues throughout appraisal. Lee v. California Capital Insurance Company.

CHAPTER 4

Sharma Waivers and White Waivers

Understanding the waiver doctrines in California appraisal law is essential for strategic decision-making. There are two primary types of waivers that come into play: the Sharma waiver (discussed above) and the so-called White waiver, which comes from White v. Western Title Insurance Company.

A Sharma waiver occurs when the insurance company engages in conduct inconsistent with its right to appraisal. This typically happens when the carrier denies the claim, low-balls it for months or years, forces the policyholder into litigation, and then belatedly demands appraisal to avoid a bad faith trial. Courts look at three factors: (1) whether the party demanding appraisal knew of the right, (2) whether the party's conduct was inconsistent with the right, and (3) whether the other party was prejudiced by the inconsistent conduct.

A White waiver is slightly different. It arises when the insurer's conduct constitutes an implied waiver of a policy condition — not just the appraisal clause. For example, if the carrier's adjuster tells the policyholder that appraisal is not available or that the policyholder does not have the right to demand it, the carrier may be estopped from later demanding appraisal itself. Similarly, if the carrier fails to comply with its own obligations under the appraisal clause — such as failing to select an appraiser within 20 days of the demand — it may waive its right to participate.

Strategic Note

Strategy tip: If you suspect the carrier will try to demand appraisal after you file suit, document every instance of delay, denial, and inconsistent conduct. Build your Sharma waiver argument from day one by keeping meticulous records of the carrier's behavior throughout the claim.

- Sharma waiver focuses on litigation conduct — demanding appraisal too late after acting inconsistently
- White waiver focuses on implied waiver through statements or failure to perform policy obligations
- Both waivers require showing prejudice to the party opposing the late demand

- Document every carrier communication to build your waiver argument if needed
- Consult with an attorney before opposing appraisal — sometimes appraisal works in your favor even if the carrier demanded it

CHAPTER 5

Choosing Your Appraiser

Your choice of appraiser is the single most important decision you will make in the appraisal process. I cannot stress this enough. The appraiser you select is your advocate within the appraisal panel. They are not required to be neutral — that is the umpire's job. Your appraiser should be a knowledgeable, experienced professional who will aggressively pursue the highest supportable amount of loss on your behalf.

Ideally, your appraiser should be someone with deep construction knowledge, estimating experience, and familiarity with insurance claim procedures. Many policyholders make the mistake of selecting a general contractor or a friend who does some handyman work. While well-intentioned, these individuals often lack the specific expertise needed to prepare a compelling appraisal submission.

The best appraisers are public adjusters or construction professionals who have handled appraisals before and understand how to prepare detailed, line-by-line estimates that withstand scrutiny. They should be comfortable with Xactimate or similar estimating software, and they should know how to present their findings clearly and persuasively.

Critical Warning

Never select an appraiser suggested by the insurance company. Never select an appraiser who regularly works for insurance companies. Your appraiser is YOUR representative, and they should have a track record of advocating for policyholders.

- Look for appraisers with construction estimating experience
- Verify they have handled insurance appraisals before — this is not the same as arbitration
- Ask for references from policyholder-side cases
- Ensure they are competent with Xactimate or equivalent estimating tools
- Confirm they understand the scope of their role and the limits of appraisal
- Discuss their fee structure upfront — most charge a flat fee or hourly rate
- Ask about their approach to the umpire selection process

CHAPTER 6

The Umpire Selection Process

Once both appraisers have been selected, they must agree on an umpire. The umpire is the neutral third party who breaks ties when the two appraisers cannot agree. The umpire's role is critical because, in practice, the two appraisers almost never agree on everything. The umpire's decision on the disputed items effectively determines the final award.

The policy gives the appraisers 15 days to agree on an umpire. If they cannot agree, either party may petition a court to appoint one. In practice, the umpire selection process is often the most contentious part of the entire appraisal. The carrier's appraiser will push for an umpire who tends to be conservative in their valuations. Your appraiser should push for an umpire who is fair, experienced, and willing to follow the evidence.

When the court appoints an umpire, judges typically select from a pool of retired judges, construction professionals, or other qualified individuals. Some courts maintain a list of approved umpires. Your appraiser should be familiar with the local pool and ready to make recommendations or objections as needed.

1. Both appraisers exchange lists of proposed umpire candidates
2. Each side researches the other's candidates for conflicts of interest and track record
3. Negotiate in good faith — the best umpires are those both sides can live with
4. If agreement cannot be reached within 15 days, petition the court for appointment
5. When petitioning the court, submit a declaration explaining why the proposed umpires are problematic
6. Prepare a list of acceptable umpire candidates for the court to consider

Insider Tip

The umpire selection process is where many appraisals are won or lost. An umpire with construction experience who follows the evidence will almost always favor the policyholder, because the policyholder's numbers are usually closer to reality than the carrier's low-ball estimate.

CHAPTER 7

Strategy for Maximizing Your Award

Going into appraisal without a strategy is like going to trial without a theory of the case. You need to know what you are asking for, why you are asking for it, and how you are going to prove it. The appraisal submission should be as thorough and detailed as anything you would present in court.

Prepare a Comprehensive Estimate

Your appraiser should prepare a detailed Xactimate estimate — or equivalent — covering every element of the loss. This means going room by room, item by item, and line by line. Every damaged component should be documented with photographs, measurements, and detailed descriptions. The estimate should include proper labor categories, current material pricing, and all applicable overhead and profit.

Support Everything with Documentation

The appraisal panel responds to evidence. Photographs, contractor bids, invoices, product specifications, code requirements, and expert reports all carry weight. If you are claiming that certain items require replacement rather than repair, show why with photographs of the damage and product data showing that the item cannot be restored to pre-loss condition.

Address the Carrier's Estimate Directly

Do not ignore the carrier's estimate. Go through it line by line and identify every omission, undervaluation, and error. Prepare a comparison document showing your numbers alongside the carrier's numbers for each line item, with explanations for every difference. This makes it easy for the umpire to see where the carrier cut corners.

- Always include overhead and profit — contractors charge it, and you are entitled to it

- Include code upgrade costs where applicable — carriers routinely omit these
- Document matching requirements — you are entitled to a uniform appearance, not a patchwork
- Include all temporary repairs and emergency mitigation costs
- Account for debris removal, permit fees, and general conditions
- If applicable, address depreciation line by line — carriers often over-depreciate

CHAPTER 8

Common Mistakes to Avoid

After handling hundreds of appraisals, I have seen the same mistakes repeatedly. These mistakes can cost policyholders thousands of dollars — or can result in a failed appraisal altogether. Here are the most common pitfalls and how to avoid them.

Mistake 1: Choosing the Wrong Appraiser

As discussed, your appraiser selection is critical. Do not pick your uncle who does drywall work. Do not pick a contractor who has never been through an appraisal. Pick someone who understands insurance estimating, knows the appraisal process, and has a track record of results.

Mistake 2: Submitting a Weak Estimate

If your estimate is not at least as detailed as the carrier's, you are already behind. Your estimate should be more detailed, more thorough, and better supported. Vague line items and round numbers do not impress umpires. Precision and documentation win appraisals.

Mistake 3: Missing the Deadlines

The policy sets deadlines for selecting appraisers and umpires. Missing these deadlines can give the carrier an argument that you waived your rights. Calendar every deadline and follow up in writing. Always use certified mail or another method that provides proof of delivery.

Mistake 4: Confusing Appraisal with Mediation

Appraisal is not a negotiation. Your appraiser is not there to split the difference or find a middle ground. They are there to determine the actual amount of loss. If the actual loss is $100,000 and the carrier says $30,000, the correct answer is not $65,000 — it is $100,000. Do not let anyone talk you into compromising before the process even begins.

Mistake 5: Not Addressing Causation

While appraisal technically only addresses the amount of loss, causation questions inevitably arise. The carrier's appraiser will try to exclude items by claiming they are not related to the covered loss. Your appraiser needs to be prepared to explain why each item of damage is causally connected to the loss event. This is where expertise matters.

Bottom Line

The biggest overall mistake is treating appraisal as informal or casual. Treat it like a hearing. Prepare meticulously, document thoroughly, and present your case as if a judge is watching — because one might be, if the carrier challenges the award.

CHAPTER 9

Sample Letters and Forms

Sample Demand for Appraisal

[Date]

[Insurance Company Name]
[Claims Department Address]

Re: Insured: [Your Name]
Policy Number: [Policy Number]
Claim Number: [Claim Number]
Date of Loss: [Date of Loss]

Dear Claims Manager:

This letter constitutes a formal demand for appraisal pursuant to the appraisal provision contained in the above-referenced policy of insurance. We have been unable to agree on the amount of loss arising from the [describe loss event] that occurred on [date of loss].

In accordance with the policy, I hereby demand that the amount of loss be determined by appraisal as provided in the policy. I have selected [Appraiser Name], [title/credentials], as my competent and impartial appraiser. Please provide the name and contact information of your selected appraiser within twenty (20) days of your receipt of this demand, as required by the policy.

Please direct all appraisal-related correspondence to [your contact information or your representative's contact information].

Sincerely,
[Your Name]

Sample Follow-Up for Non-Response

[Date — 21+ days after initial demand]

[Insurance Company Name]
[Claims Department Address]

Re: Insured: [Your Name]
Policy Number: [Policy Number]
Claim Number: [Claim Number]
SECOND DEMAND FOR APPRAISAL — FAILURE TO RESPOND

Dear Claims Manager:

On [date of initial demand], I served a formal demand for appraisal on your company. More than twenty (20) days have elapsed and your company has failed to select an appraiser as required by the policy. Your failure to comply with the policy's appraisal provision constitutes a material breach of the insurance contract.

I hereby demand that you select a competent and impartial appraiser within ten (10) days of receipt of this letter. If your company fails to do so, I will have no choice but to seek judicial intervention by filing a Petition to Compel Appraisal in Superior Court, and I will seek recovery of all costs and attorney's fees incurred in connection with that petition.

Sincerely,
[Your Name]

CHAPTER 10

The Appraisal Hearing: What to Expect

While appraisal is not a formal hearing in the legal sense, the process has structure, and understanding that structure gives you a significant advantage. Typically, the two appraisers will schedule one or more joint inspections of the property. During these inspections, each appraiser examines the damage, takes measurements, and documents their findings. Your appraiser should bring their own camera, measuring tools, and a copy of their estimate.

After the inspections, each appraiser prepares their independent estimate of the loss. These estimates are exchanged simultaneously or submitted to the umpire. The umpire then reviews both estimates and identifies the areas of agreement and disagreement. For items where the appraisers agree, those amounts are final. For disputed items, the umpire makes the determination.

Some umpires hold a hearing where both appraisers present their positions on disputed items. Other umpires simply review the written submissions and issue a decision. Your appraiser should be prepared for either format. If a hearing is held, your appraiser should have a clear, organized presentation with photographs, documentation, and line-by-line explanations for each disputed item.

Joint Inspection Protocol

1. Both appraisers and the umpire should inspect the property together when possible
2. Your appraiser should document every area of damage, even items not in the carrier's estimate
3. Bring all supporting documentation — contractor bids, code requirements, product specifications
4. Photograph everything during the inspection, including areas the carrier's appraiser may try to skip
5. Take notes on what the carrier's appraiser agrees or disagrees with during the

inspection

6. If destructive testing is needed (opening walls, lifting flooring), discuss this with all parties
7. Request that the umpire physically inspect contested areas — do not let the inspection be cursory

Use the Inspection

The joint inspection is your chance to educate the umpire about the real scope of the damage. Make sure your appraiser uses this opportunity effectively. An umpire who sees the damage firsthand is far more likely to award appropriate amounts than one who only reviews paperwork.

CHAPTER 11

Preparing Your Appraisal Submission Package

Your appraisal submission package is the most important document in the entire process. Think of it as your brief to the umpire. It should be comprehensive, well-organized, and persuasive. A sloppy or incomplete submission signals to the umpire that your numbers are unreliable.

Components of a Strong Submission

1. Cover letter — summarize the loss, the scope of the dispute, and the total amount you are claiming
2. Detailed Xactimate estimate — line by line, room by room, with full pricing and quantities
3. Comparison document — your estimate side-by-side with the carrier's estimate, highlighting every difference
4. Photograph binder — organized by room, clearly labeled, with captions explaining the damage shown
5. Contractor bids — at least two independent bids supporting your repair costs
6. Code compliance documentation — relevant building code sections requiring upgrades
7. Product specifications — for materials that need to be matched to pre-loss quality
8. Expert reports — if applicable (structural engineer, environmental consultant, etc.)

The comparison document deserves special attention. Create a spreadsheet that lists every line item in both estimates. For each line item, show your amount, the carrier's amount, and the difference. Add a column for notes explaining why the carrier's amount is insufficient. This makes it easy for the umpire to see, at a glance, where the differences lie and how large they are.

Organize the photograph binder chronologically and by room. Label each photograph with the date taken, the room or area shown, and a description of what the photograph demonstrates. Cross-reference photographs to specific line items in your estimate. The goal is to make the umpire's job as easy as possible — every disputed item should be supported by visual evidence and a clear explanation.

Professionalism Wins

Professional presentation builds credibility. An umpire who receives a well-organized, thorough submission will take your numbers seriously. An umpire who receives a stack of loose papers and unlabeled photos will question whether the numbers are reliable.

CHAPTER 12

After the Award: Enforcement and Next Steps

Once the appraisal panel issues its award, the process is not necessarily over. The carrier must pay the award, and sometimes carriers resist. Understanding your rights after the award is issued is essential to ensuring you actually receive the money you are owed.

Confirming the Award

Under the California Arbitration Act (CCP 1285), you can petition the court to confirm the appraisal award. Once confirmed, the award becomes a judgment of the court with full enforcement power. This means you can use all the collection tools available to judgment creditors — including wage garnishments, bank levies, and liens — although these are rarely necessary against insurance carriers. The confirmation petition should be filed within four years of the award under CCP 1288.

Carrier Challenges to the Award

Carriers occasionally attempt to vacate (overturn) appraisal awards under CCP 1286.2. The grounds for vacating an award are extremely narrow: corruption or fraud, prejudicial misconduct by an appraiser, or the appraiser exceeding their powers. Courts apply these grounds very strictly, and most attempts to vacate appraisal awards fail. If the carrier files a petition to vacate, you will need an attorney to respond — but the law is strongly in your favor.

The most common carrier argument is that the appraisers 'exceeded their powers' by deciding coverage questions rather than limiting themselves to amount-of-loss determinations. This is why it is so important to frame the appraisal around amount-of-loss issues from the beginning. If your submission was properly focused on the cost and scope of repairs, this argument will fail.

Interest on Late Payments

If the carrier delays payment after the award is issued, you may be entitled to interest on the unpaid amount. Under California law, interest accrues at the legal rate (currently 10% per year under Civil Code Section 3289) from the date the payment was due. This can add up quickly on large awards and creates additional pressure on the carrier to pay promptly.

Enforce Your Award

Once you have a favorable appraisal award, the carrier has very limited ability to avoid paying it. If they delay, confirm the award as a court judgment and demand payment with interest. Consult an attorney if the carrier is refusing to pay — the carrier's post-award conduct may support additional bad faith damages.

- File a petition to confirm the award within 4 years (but do it promptly — there is no reason to wait)
- The carrier has 100 days from service of the award to file a petition to vacate (CCP 1288.2)
- Interest accrues on unpaid amounts at the legal rate
- Post-award bad faith is a separate cause of action — the carrier cannot ignore the award without consequences
- Keep all appraisal documents indefinitely — they may be needed for tax purposes or future disputes

CHAPTER 13

Appraisal vs. Litigation: When Each Path Makes Sense

One of the most frequent questions I hear is: should I go to appraisal or should I file a lawsuit? The answer depends on several factors, and making the wrong choice can cost you time, money, and leverage. Let me break down the key considerations.

Advantages of Appraisal

Appraisal is faster than litigation. A typical appraisal can be completed in 60 to 120 days from the date of the demand. Litigation can take two to four years. Appraisal is also less expensive — the costs are limited to your appraiser's fee and a share of the umpire's fee, typically a few thousand dollars total. Litigation involves attorney's fees, expert costs, deposition expenses, and court costs that can run into tens of thousands of dollars.

Appraisal is also less adversarial. The process is private, there is no public record of the proceedings, and the parties can maintain a working relationship during and after the appraisal. This matters when you still have an ongoing claim with the carrier — you do not want to torch the relationship while you are still collecting ALE payments or waiting for supplement approvals.

Advantages of Litigation

Litigation provides access to discovery — the ability to subpoena the carrier's internal documents, claim notes, emails, and guidelines. In a bad faith case, discovery is where the smoking gun evidence lives. Appraisal has no discovery mechanism. Litigation also allows you to pursue damages beyond the policy benefits — emotional distress, consequential damages, punitive damages, and attorney's fees. Appraisal is limited to the amount of the insured loss.

If the carrier has engaged in bad faith conduct — not just underpaying your claim but doing so in a way that is unreasonable, oppressive, or fraudulent — litigation may be the better path because it allows you to hold the carrier accountable for the full scope of its misconduct. Appraisal only fixes the dollar amount; litigation can punish the behavior.

You Can Do Both

In many cases, the best strategy is both: demand appraisal to fix the amount of loss quickly, and preserve your bad faith claims for separate litigation if warranted. The two are not mutually exclusive. Appraisal resolves the amount dispute; litigation addresses the carrier's conduct.

Decision Framework

1. If the dispute is purely about the dollar amount and the carrier has acted in good faith — choose appraisal
2. If the carrier has acted in bad faith but the primary goal is getting paid — choose appraisal first, then consider bad faith litigation
3. If the carrier has denied coverage entirely — appraisal is not available; litigation is your path
4. If the carrier's bad faith conduct has caused significant consequential damages — litigation may be the better primary path
5. If time is critical (you need money to start repairs immediately) — appraisal is faster
6. If you want to set a precedent or punish egregious carrier behavior — litigation is the tool for that

CHAPTER 14

Appraisal for Commercial Properties

Everything we have discussed applies to commercial property claims as well, but commercial appraisals have additional complexities. Commercial policies use different forms (typically ISO CP 00 10 or similar), and the appraisal language may differ from the standard fire policy. Commercial losses also involve business income (BI) and extra expense (EE) claims that may or may not be subject to appraisal.

The scope of commercial property damage can be enormous. A warehouse fire, a commercial roof collapse, or water damage from a broken sprinkler system can result in millions of dollars in damage to the building, inventory, equipment, and business income. The appraisal process works the same way in principle — two appraisers and an umpire — but the stakes are higher and the issues are more complex.

Key Differences in Commercial Appraisal

- Commercial policies may have different appraisal language — read your specific policy carefully
- Business income losses are sometimes excluded from appraisal — check the policy and case law
- Extra expense claims may or may not be appraisable depending on the policy form
- Commercial properties often require specialized appraisers with commercial construction experience
- The amounts at stake justify higher appraiser and umpire fees — choose the best, not the cheapest
- Commercial leases may give the tenant appraisal rights under the landlord's policy — check the lease
- Inventory losses require detailed documentation — perpetual inventory records are extremely valuable

If you own a business and are considering appraisal, hire an appraiser with specific commercial claims experience. Commercial estimating is a different discipline from residential estimating. An appraiser who is excellent at residential claims may be out of their depth with a commercial warehouse or a multi-tenant office building. Ask about their commercial experience before you hire them.

Consider a Forensic Accountant

Commercial policyholders should also consider whether they need a forensic accountant in addition to a construction appraiser. Business income and extra expense calculations require accounting expertise that most construction professionals do not have.

CHAPTER 15

Frequently Asked Questions About Appraisal

Q: How long does the appraisal process take?

A: From the date of the initial demand to the issuance of an award, a typical appraisal takes 60 to 120 days. The timeline can be shorter if both parties are cooperative, or longer if there are disputes over the umpire selection or one side is dragging their feet. Complex losses with multiple buildings or extensive damage may take longer.

Q: How much does appraisal cost?

A: You pay for your own appraiser (typically $2,000 to $10,000 depending on the complexity of the loss) and you split the umpire's fee equally with the carrier. Umpire fees vary widely but typically range from $2,000 to $10,000. So your total out-of-pocket cost for appraisal is usually $3,000 to $15,000. Given that appraisal awards typically increase the policyholder's recovery by $20,000 to $100,000 or more, the return on investment is substantial.

Q: Can the carrier demand appraisal to avoid paying my claim?

A: The carrier can demand appraisal, but it cannot use appraisal as a delay tactic. Under Lee v. California Capital, the carrier must continue to act in good faith during appraisal, including paying undisputed amounts promptly. If the carrier's demand for appraisal appears to be a stalling strategy, you may be able to argue Sharma waiver.

Q: Do I need a lawyer for appraisal?

A: Not necessarily. Appraisal is not a legal proceeding, and lawyers do not typically participate in the appraisal hearing itself. However, an attorney can be invaluable for drafting the demand, handling the petition to compel (if needed), advising on strategy, and addressing any bad faith issues that arise. Many policyholders use a public adjuster as their appraiser and an attorney for legal advice — this combination provides both technical expertise and legal protection.

Q: What if I am not happy with the appraisal award?

A: If the award is lower than you expected, your options are very limited. Under the Arbitration Act, courts can only vacate an award for corruption, fraud, misconduct, or excess of authority. A low award that you disagree with is not grounds for vacating it. This is why the choice of appraiser is so critical — once the award is issued, you are generally stuck with it. Choose your appraiser carefully and prepare your submission thoroughly.

Q: Can I demand appraisal and file a bad faith lawsuit at the same time?

A: Yes. Appraisal resolves the amount-of-loss dispute. A bad faith lawsuit addresses the carrier's unreasonable conduct in handling the claim. These are separate issues, and pursuing one does not waive your right to pursue the other. In fact, winning a favorable appraisal award often strengthens your bad faith case because it proves the carrier was underpaying the claim.

Appraisal Supports Bad Faith

A favorable appraisal award is powerful evidence in a bad faith case. If the appraisal awards $100,000 and the carrier originally offered $35,000, the $65,000 gap speaks for itself. The carrier's defense that its estimate was 'reasonable' becomes very difficult to sustain.

CHAPTER 16

The Role of the Public Adjuster in Appraisal

A California Licensed Public Adjuster is uniquely qualified to serve as your appraiser in the appraisal process. Public adjusters work exclusively for policyholders — never for insurance companies. They understand both the insurance side and the construction side of property claims, which makes them exceptionally effective appraisers.

When you hire a public adjuster as your appraiser, you get someone who can prepare a detailed Xactimate estimate, understand the carrier's estimate methodology and challenge it effectively, present your case to the umpire with professional credibility, and navigate the procedural requirements of the appraisal process. This combination of insurance knowledge and construction expertise is exactly what the appraisal process demands.

Public Adjuster vs. Contractor as Appraiser

Some policyholders choose to use a contractor as their appraiser. While contractors have construction knowledge, they often lack the insurance expertise needed to frame the appraisal effectively. A contractor may know what the repairs cost, but they may not understand how to present that cost in a way that the umpire will accept. They may not understand depreciation methodology, code upgrade coverage, matching requirements, or the specific line-item format that umpires expect.

A public adjuster, by contrast, speaks both languages. They understand construction and they understand insurance. They know what the carrier's appraiser will argue and they know how to counter it. They have been through the process dozens or hundreds of times. This experience matters when the umpire is deciding between two competing estimates.

Experience in Appraisal Matters Most

When choosing between a public adjuster and a contractor as your appraiser, choose the person with the most appraisal experience. Appraisal is a specialized process, and experience in that process is more valuable than general construction knowledge.

CHAPTER 17

Special Appraisal Issues: ACV, Code Upgrades, and Contents

ACV Holdback Disputes

When the carrier pays you the Actual Cash Value (ACV) of the loss, they hold back the depreciation until you complete repairs and submit receipts. But what if the ACV itself is calculated incorrectly? Appraisal can address both the full replacement cost and the proper ACV by correcting depreciation errors, adjusting useful life assumptions, and ensuring that labor is not being depreciated.

In California, the holdback amount should be released as you complete repairs — you do not have to wait until the entire project is finished. If you have completed the roofing and want the roof depreciation holdback released, submit the roofing invoice and demand payment of the holdback for that line item. The carrier cannot hold the entire depreciation hostage until the last nail is driven.

Code Upgrades in Appraisal

Code upgrade costs are absolutely within the scope of appraisal when the dispute is over the amount of the code upgrade cost, not whether the policy covers code upgrades. If the carrier agrees that code upgrades are covered but disputes the dollar amount, your appraiser should include the full code upgrade cost in their estimate. This includes current electrical code requirements, energy efficiency upgrades, fire resistance requirements, seismic requirements, and all other applicable building codes.

Contents in Appraisal

While most appraisals focus on the dwelling (Coverage A), contents (Coverage C) disputes can also be resolved through appraisal if the dispute is over the amount of loss. If you and the carrier disagree on the replacement cost or depreciation of your personal property items, appraisal may be available. However, contents appraisals are less common and require an appraiser with specific expertise in personal property valuation.

Include All Disputed Coverages

When invoking appraisal, be specific about what categories of loss you are including. If your dispute covers dwelling, other structures, and contents, make sure the appraisal demand includes all three. You do not want to win an appraisal on the dwelling and then have to start a separate appraisal on contents because you forgot to include them.

CHAPTER 18

Real-World Appraisal Results: What to Expect

I want to give you a realistic sense of what appraisal can accomplish. These are generalized examples drawn from real cases — specific details changed to protect confidentiality — that illustrate the range of outcomes policyholders can expect.

Example 1: Roof Replacement Dispute

A carrier estimated roof damage at $12,000. The policyholder's contractor bid was $38,000 for a full replacement (matching requirement due to discontinued shingles). At appraisal, the award came in at $34,500 — nearly triple the carrier's estimate. The appraisal took 75 days from demand to award.

Example 2: Kitchen Water Damage

A burst pipe caused extensive water damage to a kitchen and adjoining family room. The carrier's estimate was $23,000. The policyholder's public adjuster estimated $67,000 including cabinet replacement, flooring replacement (matching), and code upgrades. The appraisal award was $58,000 — more than double the carrier's estimate. The key disputed items were the matching requirement for flooring and the inclusion of O&P.

Example 3: Total Fire Loss

A total fire loss where the carrier estimated the dwelling rebuilding cost at $380,000 and the policyholder's estimate was $520,000. The dispute centered on current construction costs versus the carrier's outdated pricing, code upgrade costs, and demolition and debris removal. The appraisal award was $485,000. The $105,000 difference between the carrier's estimate and the award was the difference between a home that could and could not be rebuilt.

Appraisal Works

In my experience, policyholders who are represented by a competent public adjuster win at appraisal in the overwhelming majority of cases, and the average increase over the carrier's estimate is 50-200%. Appraisal works because the process forces an objective look at the real numbers.

Need Help With Your Claim?

If you're dealing with an insurance company that isn't treating you fairly, you don't have to fight alone. A licensed public adjuster works for you — not the insurance company — to make sure you receive every dollar you're entitled to under your policy.

Visit: insuranceclaimsinfo.com

Free resources, guides, and expert help for policyholders

Leland Coontz

California Licensed Public Adjuster